

Liontrust Asset Management (LIO LN) — Executive Compensation Review

Quantum & structure vs. UK asset-manager peers · Evaluation of the annual bonus and LTIP · An engaged-shareholder (activist) assessment
· As at 23 July 2026

The subject — Liontrust Asset Management plc (LIO LN): London-listed active manager — UK/European equities, Sustainable Investment, multi-asset and (post-GAM) fixed income — led by CEO **John Ions** (CEO since 2010) and joint CFO/COO **Vinay Abrol** (with the group since 2004). The investment case has deteriorated sharply: assets and profits have roughly halved, and the shares are down heavily.

AuMA (FY-end 31 Mar): £33.5bn (FY22) → 31.4 → 27.8 → 22.6 → £19.6bn (FY26). **Adj. PBT:** £67.4m (FY24) → £48.3m (FY25) → £30.5m (FY26, -37%). **Market cap** ~£187m (mid-2026). **Persistent net outflows; GAM fund managers publicly called for a strategic review/sale (23 Mar 2026).**

The thesis in five points

- The pay framework is sized for a company Liontrust no longer is.** The policy maxima — CEO annual bonus up to 450% of salary plus an LTIP up to 350% (≈800% of salary of variable at maximum) — and the £584k base were benchmarked to “FTSE-250-level” comparators. Liontrust is now a ~£187m small-cap with £19.6bn AuMA and adjusted PBT of £30.5m. The CEO base alone exceeds every close-size peer (Polar, Premier Miton, Impax all ~£300–350k).
- The structure does flex with performance — which both earns credit and hides the problem.** Realised CEO pay fell from a ~£6–7m, LTIP-driven peak (FY21/FY22) to ~£1.0m (FY24/FY25) as long-term awards lapsed. The plan is genuinely geared — good. But the ceilings and fixed pay were being raised while the franchise shrank, which is precisely why shareholders keep rebelling.
- The annual bonus is opaque and largely discretionary.** Up to 450% of salary is awarded on a “holistic” assessment with no clearly disclosed metric weightings or scorecard. Full deferral of the bonus into three-year shares is a real strength; the absence of hard, published targets — above all any explicit net-flows goal — is a real weakness.
- The LTIP under-weights the single most important driver: net flows.** 40% absolute TSR (with only a FTSE-250 relative underpin), 30% diluted adjusted EPS, 30% three-/five-year fund performance vs IA-sector quartiles. The fund-performance leg is genuinely well-designed for an asset manager. But absolute TSR off a depressed base risks windfalls on any re-rating or takeover, and organic growth / net flows — the core value driver and Liontrust’s central problem — carry zero direct weight.
- The governance signal is flashing red — making pay a credible engagement lever.** 45.9% voted against the 2022 policy (ISS and Glass Lewis both against — the largest UK pay revolt that year); the 2024 policy “squeaked by”; 27.4% voted against the 2025 remuneration report. With GAM already agitating for a strategic review, remuneration is a live pressure point.

1 · Quantum — pay against size and against peers

Judged on absolute pounds, recent realised pay is not egregious: the CEO single figure has sat near **£1.0m** for FY24 and FY25 (salary £584k plus modest variable), well below the ~£6–7m of the FY21/FY22 peak. The problem is *relative* — both fixed pay and the maximum opportunity are calibrated to a business several times Liontrust’s current scale. Base salary is the highest of the close-size peer group, and the variable maxima sit just below Jupiter’s, a manager ~3× the AUM and ~4× the market value.

Manager (FY end)	AUM/AuMA	Adj. profit	Mkt cap	CEO base	CEO single figure (latest FY)
Liontrust (Mar-26)	£19.6bn	£30.5m PBT	~£187m	£584k	~ £1.0m (FY25); FY26 not yet disclosed
Polar Capital (Mar-25)	£21.4bn	£56.7m core op	~£0.5bn	~£350k*	n/d (bonus +82% YoY)
Premier Miton (Sep-24)	£10.7bn	£12.2m PBT	~£0.1bn	~£350k	~£0.92m
Jupiter (Dec-25)	£54.0bn	£138.3m PBT	~£0.8bn	£484k	£2.9m
Impax (Sep-24)	£37.2bn	£52.7m op	~£0.35bn	£300k	~£1.0m
Ashmore (Jun-24)	\$49.3bn	£128.1m PBT	~£1.1bn	salary-led	~£0.23m (minimal variable)
Schroders (Dec-24)	£779bn	£558m PBT	~£5–6bn	cap-based	~£6.3m*
Man Group (Dec-24)	\$168.6bn	\$473m PBT	~£2.5–3bn	~\$1.0m	~\$3.2m+* (understated)

*Aggregator-derived or historic; single figures marked * may understate the audited figure (which includes vested LTIP). Sources at foot. **Read-through:** Liontrust’s fixed pay and maximum variable opportunity are anchored to mid-cap peers (Jupiter-like), while its market value (~£187m) and profitability now sit at the bottom of the group. The gearing has pulled realised pay down; the anchor has not moved.

2 · Structure — the pay architecture vs. peer practice

Element	Liontrust (LIO LN)	Close-peer practice
Base salary	CEO £584k; CFO/COO ~£420k. Raised through the downturn (CEO £348k → £550k → £584k).	Polar / Premier Miton / Impax ~£300–350k; Jupiter £484k. Liontrust sits above all close peers.
Annual bonus — max	450% of salary (CEO); 350% (CFO/COO). Full payout reserved for “exceptional holistic performance.”	Jupiter 425% max; smaller peers materially lower. Ashmore caps aggregate exec variable at £20m firm-wide.
Bonus — metrics	“Holistic” financial + strategic/personal assessment; weightings not disclosed .	Peers increasingly publish a fixed scorecard (financial %, flows %, strategic %) with capped discretion.
Bonus — deferral	Entire bonus deferred into nil-cost options (Deferred Bonus & Variable Allocation Plan), 3-yr vesting.	Typically ~50% deferred for 3 yrs. Liontrust’s 100% deferral is best-in-class alignment.
LTIP — max	350% of salary (CEO); 250% (CFO/COO). Recent grants cut ~15% by discretion (CEO to 297.5%); threshold vesting cut to 10%.	Jupiter 375% max. The routine discretionary haircuts suggest the policy ceiling is set too rich for current scale.
LTIP — metrics	40% absolute TSR (FTSE-250 relative underpin, ±10%); 30% diluted adj. EPS (ex-perf fees); 30% investment performance (3-/5-yr funds vs IA quartiles).	Peers weight <i>relative</i> TSR and, increasingly, net flows . Liontrust omits any flows metric.
LTIP — vesting / holding	3-yr performance period + compulsory 2-yr post-vest holding. Malus & clawback apply.	3-yr + 2-yr holding is now market standard; Liontrust is in line here.
Shareholding req.	Reported ~3× salary (within 6 yrs); post-employment requirement not clearly disclosed .	Best practice = 2× post-employment for ≥2 yrs; founder-owners (Impax, Ashmore) far exceed via direct stakes.
Distinctive AM feature	All-employee SAYE + SIP; no disclosed group-level fund-manager profit-share pool at the executive-director level.	Polar = explicit strategy-level profit share; Impax/Man = bonus deferred into own funds (co-investment). Liontrust lacks a comparable “eat-your-own-cooking” fund vehicle for EDs.

3 · The annual bonus — is it well-structured and properly incentivising?

- **Strength — full deferral.** Deferring 100% of the bonus into three-year nil-cost options is genuinely strong alignment, ahead of the ~50% typical among peers. It converts “bonus” into a de facto multi-year, share-price-linked award and enables malus. Keep this.
- **Weakness — opacity and discretion.** A maximum of 450% of salary decided on a “holistic” basis, with no published metric weightings, is close to a discretionary pool. Shareholders cannot see what behaviour is being paid for, and the Committee retains wide latitude to pay through a downturn. This is the single biggest driver of the say-on-pay dissent.
- **Weakness — no explicit flows target.** For an active manager bleeding assets, the bonus should visibly reward stemming and reversing net outflows and defending margin — not just a holistic read of profit. As structured, an executive can score well on “strategic” delivery while AuMA keeps falling.
- **Quantum — the ceiling is mis-set.** A 450% cap belongs to a mid-cap growth story, not a sub-£200m-cap manager in contraction. The Committee’s repeated need to apply discretionary reductions confirms the framework is calibrated too high.

4 · The LTIP — is it well-structured and properly incentivising?

- **Strength — the investment-performance leg (30%).** Measuring three-/five-year fund performance against IA-sector quartiles directly ties reward to the product shareholders actually sell. This is the best-designed part of the plan and should be retained, arguably up-weighted.
- **Strength — horizon and holding.** 3-yr performance plus a 2-yr post-vest holding period, with malus/clawback, is aligned with best practice and lengthens the effective ownership horizon to five years.
- **Weakness — absolute TSR (40%) invites windfalls.** From a depressed ~£187m valuation, a sector re-rating, a market recovery, or a bid (GAM is pushing for a sale) could deliver large absolute-TSR payouts unrelated to management skill. A FTSE-250 underpin worth only ±10% of the award is a weak guard. Relative TSR against an asset-manager peer basket would be far more defensible.
- **Weakness — no flows / organic-growth metric.** The plan rewards profit (EPS), share price (TSR) and fund performance, but not the retention and gathering of assets that ultimately drive all three. Adding a net-flows or AuMA-retention condition would target the company’s defining problem.
- **Net assessment.** The LTIP is roughly half well-designed (fund performance, horizon, holding) and half mis-aimed (absolute TSR, no flows). It incentivises surviving and re-rating more than it incentivises fixing the outflow problem — a poor fit for the situation the company is in.

5 · Governance & shareholder sentiment — a standing red flag

2022 policy: ~54.1% for / 45.9% against; ISS and Glass Lewis both recommended against — reported as the largest UK pay revolt of the year, accompanying a +58% CEO salary rise. **2024 policy:** renewed but “squeaked by” (exact split not disclosed in accessible sources); this lifted maxima to the current 450%/350% bonus and 350%/250% LTIP. **2025 report:** 72.6% for / 27.4% against — dissent reduced but still well above the 20% “significant” threshold that requires a formal response. **Overlay:** GAM Alternatives managers (Mar 2026) publicly urged a strategic review, arguing cumulative executive pay is large relative to the depressed market value. Pay is now entangled with the strategic-review debate.

6 · Activist assessment & engagement agenda

Verdict: the **quantum framework** and the **bonus/LTIP metric design** are mis-calibrated to Liontrust’s diminished scale and to its actual problem (outflows). Deferral, horizon and the fund-performance metric are good and should be preserved. The following is a proportionate, value-accretive engagement ask — not a demand to slash pay for its own sake.

- **1. Re-anchor quantum to current scale.** Reset the comparator group away from the FTSE 250 to similar-scale UK active managers (Polar, Premier Miton, Impax). Freeze or trim base salaries and lower the bonus/LTIP maxima so max total variable is materially below the current ~800% of salary.
- **2. Publish a hard bonus scorecard.** Replace the “holistic” bonus with disclosed weightings — a meaningful financial gate, an explicit net-flows / AuMA-retention component, and capped strategic/personal objectives — with the outcome grid published ex post.
- **3. Fix the LTIP aim.** Cut or remove the absolute-TSR weighting in favour of relative TSR vs an asset-manager peer basket; add a net-flows / organic-growth condition; consider up-weighting the investment-performance leg. Retain the 3+2-yr structure.
- **4. Protect against change-of-control windfalls.** Given the live sale/strategic-review pressure, ensure LTIP/bonus vesting on a change of control is time-pro-rated and performance-tested, so a bid does not crystallise outsized absolute-TSR gains from a depressed base.
- **5. Strengthen ownership and clawback.** Introduce/disclose a clear post-employment shareholding requirement (e.g. 2× for two years) and widen clawback triggers to include sustained net outflows or investment-performance failure.
- **6. Use the votes.** Sustained 25–46% dissent, ISS/Glass Lewis history and the GAM campaign make the RemCo chair and the next (triennial) policy vote natural pressure points for an engaged holder.

Caveats & sources

Sourcing constraint: the audited Directors’ Remuneration Report PDFs (Liontrust CDN) and RNS/news pages were not directly retrievable in this environment; figures are drawn from search-surfaced summaries of those filings and reputable secondary sources, and should be confirmed against the FY2026 Annual Report before any action. Unverified items are flagged in-text: FY2026 audited single figures and full salary/benefits/pension/bonus/LTIP splits for both directors; Abrol’s current single figures; exact bonus metric weightings; the precise 2024 vote split; and post-employment shareholding terms. Peer figures are latest-available fiscal years and mix audited and aggregator data.

Sources: Liontrust FY2026 Annual Financial Report (RNS, 24 Jun 2026, via Investegate/TradingView/Reuters) and IR annual-report page; Money Marketing & Investing.com FY2026 results coverage; TipRanks (LTIP reduction; bonus deferral RNS); Simply Wall St (CEO pay history & salary); Citywire (FY21 “£6.2m” peak; 2024 “skin of its teeth” vote); CityAM & LexisNexis (2022 policy revolt, ISS/Glass Lewis); Portfolio Adviser / Investment Week (2024 policy vote); MarketScreener (2025 AGM results, 72.57% for); GlobeNewswire/GAM (23 Mar 2026 strategic-review call). Peers: FY results/DRR summaries for Jupiter, Polar Capital, Premier Miton, Impax, Ashmore, Schroders and Man Group (company RNS, Investegate, Citywire, TipRanks, Simply Wall St).